statement endorsing the Reserve Bank's monetary policy decision in the media shortly after it is announced.

There was a high-profile deviation from this standard practice in October 2012 when Chidambaram went public with his displeasure at the Reserve Bank's decision not to cut interest rates. The events leading to this public rebuke of RBI started unfolding in the week before the policy. In the pre-policy meeting with him, I told Chidambaram of my decision to stay pat on the policy rate in view of the inflation situation and the continued concern about the fiscal situation which was undermining the fight against inflation. He was clearly unhappy with my proposed decision, was upfront with it and argued strongly for a rate cut. I did not believe I could yield.

Not one to give up so easily, Chidambaram took the battle forward by unveiling the government's road map for fiscal adjustment in a hurriedly convened media conference just a day before the Reserve Bank policy meeting. The finance minister's prerogative to release the government's fiscal road map any time he chooses is unquestionable, but the timing of this particular unscheduled announcement, just a day before the policy, was clearly an unsubtle message to the Reserve Bank.

While releasing the statement, Chidambaram said: 'Well, I am making the statement so that everybody in India acknowledges the steps we are taking and also acknowledges that the government is determined to bring about fiscal consolidation.' When he was asked if the Reserve Bank would cut rates based on his announcement, he used the opportunity to send a loud message from Delhi to Mumbai via the media: 'I sincerely hope everybody will read the statement and take note of that.'

I have high regard for Chidambaram's competence; if there was one person who could deliver on the demanding fiscal deficit target in an admittedly complex and challenging political scenario, it was he. Even so, I was disinclined to change my decision based on his fiscal road map as it was a mere reaffirmation of the targets with no indication of the steps that would be taken to deliver on those targets.

I was also not prepared to be let down yet again by the government's promise on fiscal targets. Just six months earlier, in April 2012, I cut the